economic conservatism and dogmas. Thus, he introduced newer dimensions to India's development strategy so that India could respond favourably to the global market forces. This was followed by the policy of liberalization, deregulation and privatization, which was furthered by Prime Minister Narasimha Rao with the active effort of the then Finance Minister Dr. Manmohan Singh.

V.P. Singh (December 1989–1990)

When the National Front came to power in 1989 under Prime Minister V.P. Singh, the world scenario was rapidly changing and the Indian foreign policy posture needed to be adjusted accordingly. While Iraq's invasion of Kuwait under Saddam Hussein resulting in the First Gulf War of 1990 marked the beginning of American armed superiority, the break-up of the Soviet Union altered the balance of power in the world. The collapse of the communist regimes in Eastern Europe and the dismemberment of the Soviet Union substantially changed the world order and a new post-Cold War order emerged. India's foreign policy had to be formulated keeping these changes in mind.

Under such circumstances, V.P. Singh made a visit to the Soviet Union in July 1990. During this visit, he and the Russian President Gorbachev reaffirmed the continuation of their traditional ties of friendship and cooperation and also readjusted their economic and trade ties according to the needs of the time. Simultaneously, under him India's relationship with the other superpower, viz. the United States, began to show improvement and financial assistance from world agencies such as the World Bank and the IMF increased. which helped India to tide over the economic crisis caused by the First Gulf War. With China, the National Front Government did not deviate from the course set by Rajiv Gandhi and made efforts to maintain cordial relationship.

V.P. Singh's National Front Government also tried to improve India's relations with her neighbours, especially with Nepal, Sri Lanka and Bangladesh. With Nepal several irritants had developed soon after the expiry of the Trade and Transit Treaty in 1989 including Nepal's attempts for overland import of weapons from China. However, the then Foreign Minister I.K.Gujral's visit to Kathmandu in August 1990